TAB 14

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Los Angeles Unified School District

333 South Beaudry Ave,
Los Angeles, CA 90017

Board of Education Report

Return to Order of Business

File #: Rep-023-23/24, Version: 1

Renewal of Contract: California Statewide Delinquent Tax Finance Authority, 2023-2025
August 22, 2023
Office of the Chief Business Officer

Action Proposed:

1) Approve the attached resolution (Attachment A) approving the assignment of delinquent tax receivables to the California Statewide Delinquent Tax Finance Authority ("Finance Authority") for the fiscal years ending June 30 in each of the years 2023 through 2025
2) Authorize the execution and delivery of related documents and actions related to the transactions

Background:
In June 2001, the Board authorized the Chief Financial Officer to join a Joint Powers Authority (JPA) enabling the Chief Financial Officer, on behalf of the District, to sell or transfer the District's right to its delinquent property taxes to the JPA. The JPA created is the Finance Authority.

Under this program, the District receives annually 100% of the amount of the delinquent taxes plus a negotiated premium of 10%. The JPA or the County Auditor-Controller only reports to the State the principal portion of the delinquent property taxes. The District retains the 10% premium, which is not subject to State revenue limit offset. Since the initial financing in 2002, this program has generated $38 million in unrestricted revenue to the District.

Expected Outcomes:
The District shall be able to sell its delinquent property taxes to the California Statewide Delinquent Tax Finance Authority and generate 10% premium.

Board Options and Consequences:
The Board may elect not to sell the delinquent property taxes. This would mean that the District would not generate the 10% premium that is part of the agreement, which averaged $1.5 million over the last 5 years. The District would also not receive the amount of delinquent taxes up front as part of the financing.

Policy Implications:
The District Debt Management Policy, Article II, Section 2.02, states that the District may participate in the annual pooled financing of delinquent property taxes to the extent that the Chief Financial Officer determines such financing produces significant benefit to the District.

Budget Impact:
The District's 2023-24 Final Budget includes $1.06 million in anticipated revenue from the sale of delinquent property taxes.

Student Impact:
The Finance Authority generates additional unrestricted revenue which can be made available for educating students.

Equity Impact:

Component	Score	Score Rationale
Recognition	1	Not Applicable
Resource Prioritization	2	The premium received from the JPA is unrestricted general fund revenue and budgeted accordingly, for which equity is a criteria.
Results	3	The premium received from the JPA is unrestricted general fund revenue and allocated accordingly, which equity is a priority.
TOTAL	6	

Issues and Analysis:
Participation in the pooled financing of delinquent property taxes as proposed herein, is necessary to generate the 10% premium that is part of this agreement. Participation is also necessary for the District to receive the amount of delinquent taxes up front as part of the financing.

Attachments:
Attachment A - Resolution

Informatives:
Not applicable

Submitted:
07/24/2023

RESPECTFULLY SUBMITTED,

ALBERTO M. CARVALHO
Superintendent

APPROVED & PRESENTED BY:

PEDRO SALCIDO
Deputy Superintendent,
Business Services and Operations

REVIEWED BY:

DEVORA NAVERA REED
General Counsel

APPROVED & PRESENTED BY:

David D. Hart

DAVID D. HART
Chief Business Officer

✓ Approved as to form.

REVIEWED BY:

NOLBERTO DELGADILLO
Deputy Chief Business Officer, Finance

✓ Approved as to budget impact statement.

RESOLUTION NO. ____

RESOLUTION OF THE GOVERNING BOARD OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT APPROVING ASSIGNMENT OF DELINQUENT TAX RECEIVABLES TO THE CALIFORNIA STATEWIDE DELINQUENT TAX FINANCE AUTHORITY FOR FISCAL YEARS ENDING JUNE 30 IN EACH OF THE YEARS 2023, 2024 AND 2025, AND AUTHORIZING EXECUTION AND DELIVERY OF RELATED DOCUMENTS AND ACTIONS

WHEREAS, under Section 6516.6(b) of the Government Code of the State of California (the "Law"), a school district, community college district or other local educational agency is authorized to sell and assign to a joint powers authority any or all of its right, title, and interest in and to the enforcement and collection of delinquent and uncollected property taxes, assessments, and other receivables that have been levied by it or on its behalf for collection on the secured, unsecured, or supplemental property tax rolls, in accordance with such terms and conditions as are set forth in an agreement with the joint powers authority; and

WHEREAS, the California Statewide Delinquent Tax Finance Authority (the "Authority") has been formed as a joint powers authority for the purpose of purchasing delinquent *ad valorem* property taxes in accordance with Section 6516.6 of the Law upon terms and conditions which are acceptable to local educational agencies in Los Angeles County; and

WHEREAS, under the Law the amount of property tax receipts to be reported in a fiscal year for revenue limit purposes is equal to 100% of the local educational agency's allocable share of the taxes distributed to it for the fiscal year, and any additional amounts will not be reported and will be provided directly to the local educational agency; and

WHEREAS, the Authority has financed the purchase of tax receivables from the Los Angeles Unified School District (the "District") in prior fiscal years; and

WHEREAS, the Authority has requested the District to consider selling it certain delinquent tax receivables arising with respect to the fiscal years ending June 30 in each of the years 2023, 2024 and 2025 (collectively, the "Tax Receivables"), at a purchase price which is at least equal to 110.0% of the amount of Tax Receivables; and

WHEREAS, in order to provide funding for the purchase of the Tax Receivables, the Authority has made arrangements to issue and sell a certificate of participation for each fiscal year to a designee of Tower Capital Management, LLC, a Delaware limited liability company; and

WHEREAS, the Governing Board of the District (the "Board") wishes to take its action at this time approving the sale of the Tax Receivables to the Authority, and approving related documents and actions;

NOW, THEREFORE, BE IT RESOLVED by the Governing Board of the Los Angeles Unified School District as follows:

Section 1. **Sale of Tax Receivables to Authority**. The Board hereby approves and authorizes the sale of the Tax Receivables to the Authority, at a purchase price to be determined and approved by the Board of Directors of the Authority in each of the respective years covered by this Resolution.

Section 2. **Approval of Purchase and Sale Agreements**. The sale of Tax Receivables shall be accomplished under a Purchase and Sale Agreement (the "Purchase and Sale Agreement") between the District and the Authority, in substantially the form executed by the District in connection with previous sales of tax receivables to the Authority.

The Purchase and Sale Agreement is hereby approved in substantially the form on file with the Clerk of the Board, together with any changes therein or modifications thereof approved by the Superintendent or the Chief Business Officer of the District (each, an "Authorized Officer"). The Authorized Officers are individually authorized and directed to execute and deliver each such Purchase and Sale Agreement on behalf of the District, and the execution and delivery of each such Purchase and Sale Agreement by an Authorized Officer shall be conclusive evidence of the approval of any such changes and modifications. The Board hereby authorizes the delivery and performance of each of the Purchase and Sale Agreements.

Section 3. Official Actions. The Authorized Officers and any and all other officers of the District are hereby authorized and directed, for and in the name and on behalf of the District, to do any and all things and take any and all actions, including execution and delivery of any and all assignments, certificates, requisitions, agreements, notices, consents, instruments of conveyance, warrants and other documents, which they, or any of them, may deem necessary or advisable in order to consummate the sale of the Tax Receivables to the Authority and the other transactions described herein. Whenever in this resolution any officer of the District is authorized to execute or countersign any document or take any action, such execution, countersigning or action may be taken on behalf of such officer by any person designated by such officer to act on his or her behalf in the case such officer is absent or unavailable.

Section 4. Effective Date. This resolution shall take effect from and after the date of approval and adoption thereof.

PASSED AND ADOPTED this ____ day of _________, 2023, by the following vote:

AYES:

NOES:

ABSENT:

____
Board President

PURCHASE AND SALE AGREEMENT

Dated as of December 1, 2023

between

LOS ANGELES UNIFIED SCHOOL DISTRICT
Seller

and the

CALIFORNIA STATEWIDE DELINQUENT TAX FINANCE AUTHORITY
Purchaser

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PURCHASE AND SALE AGREEMENT

THIS PURCHASE AND SALE AGREEMENT, dated as of December 1, 2023, between LOS ANGELES UNIFIED SCHOOL DISTRICT, a unified school district organized and existing under the laws of the State of California (the "District"), and the CALIFORNIA STATEWIDE DELINQUENT TAX FINANCE AUTHORITY, a joint exercise of powers authority organized and existing under the laws of the State of California (the "Authority").

BACKGROUND

1. The District is a taxing agency that is entitled to an allocation of *ad valorem* property taxes levied by the County of Los Angeles, California (the "County") on the secured roll and the supplemental roll of the County under the provisions of Article XIIIA of the California Constitution and the provisions of the California Revenue and Taxation Code.

2. Certain *ad valorem* property taxes levied by the County and allocated to the District on the secured roll and the supplemental roll are delinquent (such delinquent allocated taxes, the "Tax Receivables") as of the Cut-off Date (as defined below).

3. The Authority has been formed for the purpose of purchasing delinquent *ad valorem* property taxes from participating local educational agencies in the County in accordance with Section 6516.6 of the Government Code of the State of California (the "State"), upon terms and conditions which are acceptable to such local educational agencies.

4. In order to facilitate the purchase of the Tax Receivables, the Authority has made arrangements to issue and sell a certificate of participation representing a 100% participation interest in the Tax Receivables (the "Certificate of Participation") to Tower DB XIII Trust 2023-1, a Delaware statutory trust (the "Certificate Purchaser"), pursuant to Article 4 (commencing with Section 6584) of Chapter 5 of Division 7 of Title 1 of the Government Code of the State. The Certificate of Participation will be sold by the Authority to the Certificate Purchaser pursuant to a Certificate Purchase Agreement, dated as of December 1, 2023 (the "Certificate Purchase Agreement"), between the Authority and the Certificate Purchaser.

5. The District has determined that it is in the best interests of the District at this time to sell to the Authority the delinquent tax collections which it is entitled to receive arising from the collection of certain delinquent *ad valorem* property taxes for the fiscal year ending June 30, 2023, upon the terms and conditions provided herein.

NOW, THEREFORE, for and in consideration of the premises and the material covenants hereinafter contained, the parties hereto hereby formally covenant, agree and bind themselves as follows:

ARTICLE I
DEFINITIONS

Section 1.01. Definitions. Whenever used in this Agreement, the following words and phrases, unless the context otherwise requires, shall have the following meanings:

"*Agreement*" means this Purchase and Sale Agreement, as originally executed or as it may from time to time be supplemented, modified or amended in accordance with the provisions hereof.

"*Authority*" means the California Statewide Delinquent Tax Finance Authority, a joint exercise of powers authority organized and existing under the laws of the State, or any successor thereto.

"*Bond Counsel*" means Jones Hall, A Professional Law Corporation, or any other attorney or firm of attorneys of nationally recognized expertise with respect to legal matters relating to public financing in the State.

"*Bond Law*" means Article 4 (commencing with Section 6584) of Chapter 5 of Division 7 of Title 1 of the Government Code of the State, as in effect on the Closing Date or as thereafter amended.

"*Business Day*" means any day that is not a Saturday, Sunday or other day on which commercial banking institutions in the City of New York, New York or the City of Los Angeles, California are authorized or obligated by law or executive order to be closed.

"*Certificate of Participation*" means the Certificate of Participation which has been executed and delivered by the Authority to the Certificate Purchaser pursuant to the Certificate Purchase Agreement, representing a 100% participation interest in the Tax Receivables.

"*Certificate Purchase Agreement*" means the Certificate Purchase Agreement, dated as of December 1, 2023, between the Authority and the Certificate Purchaser.

"*Certificate Purchaser*" means Tower DB XIII Trust 2023-1, a Delaware statutory trust, or its designated affiliate, and its successors and assigns.

"*Closing Date*" means December ____, 2023.

"*Collections*" means, with respect to a Tax Receivable, the amount collected by the County (whether as payments by the related Property Owner, as proceeds of sale of the related tax-defaulted Property or otherwise) on the Tax Receivable. Collections include but are not limited to the following: (i) the District's allocable share of the delinquent taxes payable for the Fiscal Year to which the Tax Receivable is related, (ii) Penalties and Interest, (iii) all administrative costs levied in connection therewith that are distributable to the District, if any, and (iv) any other charges (including but not limited to attorney fees and costs) authorized by law to be paid to the District, if any, with respect to the Tax Receivables.

"*County*" means the County of Los Angeles, a political subdivision of the State.

"*Cut-off Date*" means July 1, 2023.

"*Defective Tax Receivable*" has the meaning set forth in Section 3.01(c).

"*Defective Tax Receivable Purchase Amount*" means, as to any Defective Tax Receivable, an amount equal to the purchase price of such Defective Tax Receivable set forth on the Tax Receivables Schedule reduced by the amount, if any, of Collections on such Defective Tax Receivable which have been applied to the recovery of such purchase price as of the date of calculation; provided, however, that if the defect in the Defective Tax Receivable is solely that the related property taxes are determined to be less than the amount shown on the Tax Receivables Schedule, then the Defective Tax Receivable Purchase Amount shall be equal to 110% of the reduction in the amount of the related property taxes shown on the Tax Receivables Schedule with respect to such Defective Tax Receivable.

"*Delinquent Tax Roll*" means the delinquent tax roll which is delivered by the Treasurer-Tax Collector of the County to the County Auditor-Controller pursuant to Section 2627 of the Revenue and Taxation Code of the State, or such other report, file or data of the Treasurer–Tax Collector or Auditor–Controller of the County as may be available from the County and mutually satisfactory to the District, the Authority and the Certificate Purchaser.

"*District*" means, a unified school district organized and existing under the laws of the State, including any entity with which it may be consolidated or which otherwise succeeds to the interests of the District.

"*Fiscal Year*" means the 12-month period beginning on July 1 in any year and ending on the following June 30. Whenever in this Agreement reference is made to the Fiscal Year of a certain year, such reference is to the Fiscal Year ending June 30 of that year.

"*Opinion of Counsel*" means one or more written opinions of counsel, who may be an employee of or counsel to the District, which counsel shall be acceptable to the recipient of such opinion or opinions.

"*Penalties and Interest*" means, with respect to any Tax Receivable, (i) the 10% penalty payable thereon in accordance with Section 2618 of the California Revenue and Taxation Code, and (ii) interest accruing thereon at the rate of 1.5% per month in accordance with Section 4103 of the California Revenue and Taxation Code.

"*Property*" means, with respect to a Tax Receivable, the real property that is encumbered by the Tax Lien of such Tax Receivable.

"*Property Owner*" means, with respect to a Tax Receivable, the fee owner or owners of the related Property.

"*Purchased Fiscal Year*" means the Fiscal Year ending on June 30, 2023.

"*Purchase Price*" means the aggregate amount paid by the Authority to the District for the purchase of the Tax Receivables, which shall be calculated in accordance with Article II.

"*Redemptive Value*" means, with respect to a Tax Receivable as of a particular date, the Tax Receivable Balance thereof as of such particular date plus accrued and unpaid interest from the Cut-off Date to such particular date on the amount described in clause (A) of the definition of Tax Receivable Balance.

"*Repurchase Date*" means each date that Collections are required to be paid to the Certificate Purchaser pursuant to Section 3.02(b).

"*Responsible Officer*" means, with respect to the District, the superintendent or chief business officer of the District or any other official of the District customarily performing functions similar to those performed by any of the above designated officials, and also with respect to a particular matter, any other official of the District to whom such matter is referred because of such official's knowledge of and familiarity with the particular subject.

"*Sale Date*" means December ___, 2023.

"*State*" means the State of California.

"*Tax Lien*" means, with respect to a Tax Receivable, the lien that attaches, by operation of Section 2187 of the California Revenue and Taxation Code, to the fee interest in the Property securing the Tax Receivable.

"*Tax Receivable Balance*" means, with respect to a Tax Receivable as of a particular date, the sum of (A) an amount equal to the District's share of the delinquent property taxes payable to the County Tax Collector shown with respect to such Tax Receivable on the Tax Receivables Schedule, (B) the 10% penalty payable on the Tax Receivable and (C) interest accrued on the amount in clause (A) from the July 1 of the Fiscal Year following the Fiscal Year in which such Tax Receivable first became delinquent to and excluding the Sale Date at the rate of 1.5% per month, less (D) any Collections thereon paid to the Certificate Purchaser and allocated to such amounts as of such particular date. For all purposes of this Agreement, Collections received with respect to any Tax Receivable shall be allocated (i) first, to interest accrued on the amount in clause (iv) on the Tax Receivable from and including the Sale Date, (ii) second, to interest accrued on the amount in clause (iv) from July 1 of the Fiscal Year following the Fiscal Year in which such Tax Receivable first became delinquent to and excluding the Sale Date, (iii) third, to the 10% penalty payable on the Tax Receivable, and (iv) fourth, to the delinquent property taxes payable to the District shown with respect to such Tax Receivable on the Tax Receivables Schedule.

"*Tax Receivable*" means, with respect to a Property for a particular Purchased Fiscal Year, the portion of a delinquent installment of ad valorem property taxes on the secured tax roll and on the supplemental tax roll of the County that:

(i) was levied by the County on one of the Properties listed on the Tax Receivables Schedule for such Purchased Fiscal Year, and is allocable to the District in accordance with the Revenue and Taxation Code of the State,

(ii) was levied during the Purchased Fiscal Year, was delinquent as of the Cut-off Date and was shown as such on the Delinquent Tax Roll maintained by the County for the Purchased Fiscal Year,

(iii) had not been received by or on behalf of the District as of the Cut-off Date,

(iv) is due and owing to the District in an amount equal to the amounts of taxes and Penalties and Interest set forth on the Tax Receivables Schedule,

(v) includes all Penalties and Interest thereon to the date of collection, and

(vi) has not become a Defective Tax Receivable.

"*Tax Receivables Schedule*" means the Schedule on the Compact Disk-ROM attached hereto as Exhibit A as such Schedule may be amended from time to time in accordance with Section 3.01(e).

Section 1.02. Other Definitional Provisions.

(a) All terms defined in this Agreement shall have the defined meanings when used in any certificate or other document made or delivered pursuant hereto unless otherwise defined therein.

(b) As used in this Agreement and in any certificate or other document made or delivered pursuant hereto or thereto, accounting terms not defined in this Agreement or in any such certificate or other document, and accounting terms partly defined in this Agreement or in any such certificate or other document to the extent not defined, shall have the respective meanings given to them under generally accepted accounting principles. To the extent that the definitions of accounting terms in this Agreement or in any such certificate or other document are inconsistent with the meanings of such terms under generally accepted accounting principles, the definitions contained in this Agreement or in any such certificate or other document shall control.

(c) The words "hereof", "herein", "hereunder" and words of similar import when used in this Agreement shall refer to this Agreement as a whole and not to any particular provision of this Agreement; Article, Section, Schedule and Exhibit references contained in this Agreement are references to Articles, Sections, Schedules and Exhibits in or to this Agreement unless otherwise specified; and the term "including" shall mean "including without limitation".

(d) The definitions contained in this Agreement are applicable to the singular as well as the plural forms of such terms and to the masculine as well as to the feminine and neuter genders of such terms.

(e) Any agreement, instrument or statute defined or referred to herein or in any instrument or certificate delivered in connection herewith means such agreement, instrument or statute as from time to time amended, modified or supplemented and includes (in the case of agreements or instruments) references to all attachments thereto and instruments incorporated therein; references to a Person are also to its permitted successors and assigns.

(f) The phrases "to the knowledge of the District," "to the District's knowledge," "to the best knowledge of the District" or other similar phrases used herein or in any certificate delivered pursuant hereto, shall mean that the Responsible Officer of the District signing this

Agreement or such certificate, as the case may be, had no actual knowledge that the information referred to in connection with such phrase was incorrect in any material respect.

ARTICLE II
PURCHASE AND SALE OF TAX RECEIVABLES

Section 2.01. Purchase and Sale of Tax Receivables. (a) In consideration of the payment of the Purchase Price, the District does hereby sell, transfer, assign, set over and otherwise convey to the Authority, without recourse (but subject to the obligations herein), all right, title and interest of the District on the Sale Date, whether now owned or hereinafter acquired, in and to:

(i) the Tax Receivables;

(ii) all Collections in respect of the Tax Receivables on or after the Cut-off Date; and

(iii) the proceeds of any and all of the foregoing.

(b) The Authority shall be entitled, from and after the Closing Date, to receive all amounts collected by the County (whether as payments by property owners, as proceeds of sale of the related tax-defaulted properties or otherwise), on the property taxes of which the Tax Receivables are a portion, which has been allocated to the District in accordance with Chapter 6 of Part 0.5 of Division 1 of the Revenue and Taxation Code of the State, including but not limited to the following: (i) the District's allocable share of the delinquent taxes payable, (ii) the Penalties and Interest thereon, (iii) all administrative costs levied in connection therewith that are distributable to the District, and (iv) any other charges (including but not limited to attorney fees and costs) authorized by law to be paid to the District.

(c) The District hereby acknowledges and agrees that the Purchase Price has been calculated to include (i) the base amount of the Tax Receivables, plus (ii) 10.0% of the base amount of the Tax Receivables, being the amount of **$**________.

(d) On the Closing Date, the Authority shall pay or cause to be paid the Purchase Price in immediately available funds, in the amount of $________, as follows:

(i) an amount equal to $__________ shall be paid by federal funds wire to the County Auditor-Controller for distribution to the District in accordance with Section 6516.6(c)(4)(A) of the California Government Code; and

(ii) an amount equal to $________ shall be paid by federal funds wire to the Los Angeles County Office of Education for the Account of the District.

Section 2.02. Closing Conditions. The obligation of the Authority to purchase the Tax Receivables and pay the Purchase Price thereof will be subject to the accuracy of the representations and warranties of the District herein, to the accuracy of statements to be made by or on behalf of the District, to the performance by the District of its obligations hereunder and to the following additional conditions precedent:

(a) *Executed Agreement*. At the Closing Date, this Agreement shall have been authorized, executed and delivered by each of the respective parties thereto, and this Agreement and all official action of the District relating thereto must be in full force and effect and not have been amended, modified or supplemented.

(b) *Closing Documents*. The Authority must receive the following opinions and certificates (which may be consolidated into a single certificate for convenience), dated the Closing Date and acceptable to the Authority:

(1) *Legal Opinion of Bond Counsel*. An approving opinion of Bond Counsel to the effect that the obligations of the District and of the Authority under this Agreement are valid, binding and enforceable, and as to certain other matters, addressed to, and in form and substance satisfactory to, the District, the Authority and the Certificate Purchaser. At the option of Bond Counsel, such opinion may be addressed to the District and the Authority, with reliance letters given to the other parties.

(2) *Certificate of the District*. A certificate signed by an appropriate official of the District to the effect that (i) the District is duly organized and validly existing as a unified school district under the laws of the State, (ii) the representatives of the District who executed this Agreement have been duly authorized to do so on behalf of the District, (iii) the representations, agreements and warranties of the District herein are true and correct in all material respects as of the Closing Date, (iv) the District has complied with all the terms of this Agreement which are required to be complied with by the District prior to or concurrently with the Closing Date, and (v) the execution and delivery of this Agreement have been approved by resolution duly adopted by the governing board of the District, which resolution was duly and regularly adopted in accordance with all applicable legal requirements.

(3) *No Litigation Certificate*. A certificate signed by an appropriate official from the District stating that no litigation or other proceedings are pending or, to the knowledge of the District, threatened against the District in any court or other tribunal of competent jurisdiction, state or federal, in any way (A) restraining or enjoining the execution or delivery of this Agreement or the consummation of the transactions described in this Agreement, (B) contesting or affecting the validity of this Agreement or any transaction described in this Agreement, (C) questioning or affecting the organization or existence of the District or the title to office of the officers thereof or (D) questioning or affecting the power and authority of the District to enter into this Agreement and perform its obligations hereunder.

(4) *Certified Resolution*. A certificate, together with fully executed copies of the resolution approving this Agreement and the transactions described herein, of the clerk of the governing board of the District to the effect that (i) such copies are true and correct copies of said resolution; and (ii) said resolution was duly adopted and has not

been modified, amended, rescinded or revoked and is in full force and effect on the Closing Date.

(5) *Other Documents*. Such additional legal opinions, certificates, proceedings, instruments and other documents as the Authority, the Certificate Purchaser or Bond Counsel may reasonably request to evidence compliance (i) by the Authority and the District with legal requirements, (ii) the truth and accuracy, as of the Closing Date, of the representations of the District herein contained, (iii) the due performance or satisfaction by the Authority and the District at or prior to such time of all agreements then to be performed and all conditions then to be satisfied by the Authority and the District.

(c) *Issuance of Certificate of Participation*. The Certificate of Participation shall have been executed and delivered to the Certificate Purchaser, and the Certificate Purchaser shall have paid the purchase price of the Certificate of Participation in full. All conditions to the execution and delivery of the Certificate of Participation shall have been satisfied and all actions required to execute and deliver the Certificate of Participation, as such conditions and actions are set forth in the Certificate Purchase Agreement, shall have been taken or satisfied.

Section 2.03. Right to Terminate. If the District is unable to satisfy the conditions set forth in Section 2.02, this Agreement may be canceled either in part or in its entirety by the Authority at any time. Notice of such cancellation shall be given to the District in writing, or by telephone confirmed in writing.

Section 2.04. Pledge and Security Interest. (a) Although the parties hereto intend that the sale of the Tax Receivables by the District to the Authority be characterized as an absolute sale rather than a secured borrowing, in the event such transaction is deemed to be a secured borrowing, in order to secure the District's obligations to the Authority hereunder, the District hereby pledges, assigns and grants a security interest to the Authority in the following (the "Collateral"):

(i) the Tax Receivables;

(ii) the Collections; and

(iii) all proceeds of the foregoing.

(b) The District consents to the filing by the Authority of Uniform Commercial Code financing statements in the appropriate filing offices in order to perfect the foregoing pledge, assignment and security interest, in the event and to the extent any such filing is required by law.

(c) The District represents and warrants to the Authority that: (i) this Agreement creates a valid and continuing security interest (as defined in the Uniform Commercial Code of California) in the Collateral in favor of the Authority, which security interest is prior to all other liens, and is enforceable as such as against creditors of and purchasers from the District; (ii) the District owns and has good and marketable title to the Collateral free and clear of any lien, claim or encumbrance of any person; (iii) the District has caused or will have caused, within ten days, the filing of all appropriate financing statements in the proper filing office in the appropriate jurisdictions under applicable law in order to perfect the security interest in the Collateral granted to the Authority hereunder, in the event and to the extent that the Authority or the Certificate

Purchaser (A) notifies the District in writing that any such filing is required by law and (B) provides the District with any such completed financing statements and written instructions for making the required filing; (iv) other than the security interest granted to the Authority pursuant to this Agreement, the District has not pledged, assigned, sold, granted a security interest in, or otherwise conveyed any of the Collateral; (v) the District has not authorized the filing of and is not aware of any financing statements against the District that include a description of collateral covering the Collateral other than any financing statement relating to the security interest granted to the Authority hereunder or that has been terminated; and (vi) the District is not aware of any judgment or tax lien filings against the District. Such representations and warranties shall survive the Closing and may not be waived.

Section 2.05. Release of Collateral upon Repurchase of Tax Receivables. Any Tax Receivable which is repurchased by the District in accordance with this Agreement shall be released from the Collateral when the required payment is made pursuant to Section 3.01(e) of this Agreement. Promptly upon such release, the Authority shall amend the Tax Receivables Schedule to reflect the release of such Tax Receivable from the terms of this Agreement. Such Tax Receivable shall cease to be a part of the Collateral and be released from, and no longer be subject to, the pledge of this Agreement. The Authority agrees to take or cause to be taken such actions and to execute, deliver and record such instruments and documents as may be set forth in a written request of the District to release such Tax Receivable from the lien of this Agreement.

Section 2.06. Assignment of Enforcement Rights. The District hereby assigns and transfers to the Authority, and its assigns, all of the District's rights to enforce the Tax Receivables under common law or any other legal authority, subject only to such restrictions as are contained in this Agreement. The District acknowledges and agrees that the Authority will further assign the foregoing rights to enforce the Tax Receivables to the Certificate Purchaser.

ARTICLE III
THE TAX RECEIVABLES

Section 3.01. Representations and Warranties as to the Tax Receivables. (a) The District hereby represents and warrants to the Authority and the Certificate Purchaser that (1) as of the Closing Date for the Tax Receivables the information set forth in the Tax Receivables Schedule will be true and correct in all material respects as of the Sale Date, and (2) as to each Tax Receivable transferred hereunder, as of the Sale Date:

(i) the District is the sole owner of such Tax Receivable;

(ii) the District has full right and authority to sell such Tax Receivable as provided in this Agreement;

(iii) the District is selling such Tax Receivable free and clear of any and all liens, pledges, charges, security interests or any other statutory impediments to transfer created by or imposed upon the District encumbering such Tax Receivable (but subject to the right of redemption by the related Property Owner), except for liens that will be discharged by the application of the proceeds of the sale thereof;

(iv) the sale of such Tax Receivable by the District does not contravene or conflict with any laws, rules or regulations or any contractual or other restriction, limitation or encumbrance applicable to the District;

(v) the property taxes of which such Tax Receivable constitutes a portion were validly levied and will be collected by the County in accordance with all applicable provisions of the laws, rules and regulations of the State, the County and the United States of America, including but not limited to, the Servicemembers' Civil Relief Act;

(vi) the amount of such Tax Receivable includes the District's allocable share of the installments of ad valorem property taxes on the secured tax roll and on the supplemental tax roll which have been levied within the County during the Purchased Fiscal Year which were delinquent as of the Cut-off Date;

(vii) such Tax Receivable is secured by a legal, valid, binding and enforceable lien on the fee interest in the related Property and an enforceable obligation of the related Property Owner to pay the Redemptive Value thereof;

(viii) the Property encumbered by the lien of the Tax Receivable is not encumbered by a tax lien securing any delinquent property taxes assessed with respect to any fiscal year ending on or prior to June 30, 2018;

(ix) the Tax Lien relating to such Tax Receivable represents a lien on the related Property, the priority of which was subject only to other Tax Liens on such Property for which such Tax Receivable is being sold under this Agreement and to certain other priorities prescribed by statute;

(x) the amount of such Tax Receivable payable by the related Property Owner includes a 10% penalty on the portion of such Tax Receivable consisting of delinquent property taxes, and such penalty has not been canceled as a result of the Executive Order;

(xi) interest payable by the related Property Owner has accrued and will continue to accrue on the delinquent property taxes of which the Tax Receivable constitutes a portion from July 1 of the Fiscal Year following the Fiscal Year in which such Tax Receivable first became delinquent to the date of payment of such taxes at the rate of 1.5% per month, and such interest has not been canceled as a result of the Executive Order;

(xii) such Tax Receivable has not been discharged or disallowed (in whole or in part) in a bankruptcy proceeding;

(xiii) such Tax Receivable has not been compromised, adjusted or modified (including by the granting of any discounts, allowances or credits, but not including installment payment plans in accordance with law, and including by operation of the Executive Order);

(xiv) such Tax Receivable is not subject to a foreign government's diplomatic immunity from enforcement or treaty with the United States of America;

(xv) there exists no fact, condition or circumstance that would prevent the County from being able to sell the related Property in a tax sale upon the expiration of a period of five years from July 1 of the Fiscal Year after the Fiscal Year in which the related property taxes became delinquent;

(xvi) no right of rescission, setoff, counterclaim or defense has been asserted with respect to such Tax Receivable;

(xvii) such Tax Receivable does not relate to a Property owned by a Property Owner that is subject to any bankruptcy proceeding commenced prior to the Sale Date; and

(xviii) such Tax Receivable does not have any of the following characteristics:

(1) the related Property has a delinquency from Fiscal Year 2017-2018 or prior;

(2) the related Property has an assessor parcel number that starts with ‘89’ or ‘9’;

(3) an aggregate lien-to-value ratio greater than 5.0%;

(4) a Property value less than $75,000;

(5) any waived penalty and interest; or

(6) the related Property is zoned or used for any of the following uses:

Code	**Use Description**
5800	Desert
7000	Institutional
7100	Churches
7200	Schools (Private)
7300	Colleges, Universities (Private)
7400	Hospitals
7700	Cemeteries, Mausoleums, Mortuaries
8000	Miscellaneous or Government Owned Properties
8400	Pipeline, Canals
8500	Right of Way
8700	Rivers & Lakes
8800	Government Owned Properties
8820	Government Services, General
8825	Welfare and Social Services
8900	Dump Sites
TO00	TO00
1300	Department Stores
1000,2000	Commercial - Non Descript
3200	Heavy Manufacturing
3700	Mineral Processing

8100 Utility

(b) The District acknowledges that the Authority will assign to the Certificate Purchaser all of its rights and remedies arising from the breach of any representations and warranties of the District under this Agreement. It is understood and agreed that the representations and warranties set forth in this Section 3.01 and in Section 2.04 and 4.04 shall survive the consummation of the sale of the Tax Receivables on the Closing Date and shall inure to the benefit of the Authority and the Certificate Purchaser. It is further understood and agreed that the representations and warranties made by the District in Section 3.01(a) are made solely for the purpose of establishing the criteria for establishing the existence of a Defective Tax Receivable, and in no case shall the District or any of its officers or employees have any personal liability based upon any knowledge that such representations and warranties were in fact false at the time they were made, other than the obligation of the District to repurchase Defective Tax Receivables as provided in this Agreement.

(c) Upon discovery by the District or the Authority or the Certificate Purchaser (based on information provided by the County, examination of the Delinquent Tax Roll or otherwise) of a breach of any of the foregoing representations and warranties (without regard to any knowledge qualifier) that materially and adversely affects the value of any Tax Receivable (such Tax Receivable, a "Defective Tax Receivable"), the party making such discovery shall notify the District and the Certificate Purchaser in writing of such discovery. The Certificate Purchaser may, at its option, require the District to repurchase the Defective Tax Receivable. Under no circumstances will the District have the right to require the resale of a Defective Tax Receivable to the District. The District shall have no right to substitute another Tax Receivable for a Defective Tax Receivable. If the Certificate Purchaser elects to require the District to repurchase a Defective Tax Receivable, the Certificate Purchaser shall give written notice to the District. Such notice must (i) identify the Defective Tax Receivable and describe in reasonable detail the nature of the breach, (ii) if the Tax Receivable Balance as of the Sale Date is determined to be less than the amount thereof shown on the Tax Receivables Schedule, the amount of such deficiency and (iii) be accompanied by documentation from the County which reasonably establishes the factual basis for the determination of the breach. For purposes of clause (ii) of the preceding sentence, if the adjustments to the Tax Receivable Balance result from adjustments to the Delinquent Tax Roll provided by the County, the Certificate Purchaser will use its best reasonable efforts to obtain the reason(s) for the adjustments from the County, but if the Certificate Purchaser is unable to obtain such reasons despite using its best reasonable efforts to do so, such inability shall not be grounds for rejection or disallowance of the adjustment.

(d) By way of illustration and not limitation, it is understood and agreed that amounts due with respect to a Tax Receivable may be reduced as a result of changes in assessed value, changes in any applicable exemptions of the related Property pursuant to a tax appeal proceeding or changes in the property tax percentage allocation of the District in the year Collections on the Tax Receivable are received. The rights of the parties hereto shall be governed as if any such reduction constitutes a breach by the District of its representation and warranty as to the amount of the related Tax Receivable as set forth on the Tax Receivables Schedule. If any Tax Receivable becomes a Defective Tax Receivable solely as a result of the determination that the Tax Receivable Balance as of the Sale Date (or applicable Repurchase Date) was less than the amount set forth on the Tax Receivables Schedule, then only the amount of the reduction of such Tax Receivable shall be deemed to be repurchased and such Tax Receivable, at its reduced Tax Receivable Balance, shall continue to be a Tax Receivable for all purposes of this Agreement.

(e) As to any Defective Tax Receivable, on or prior to the next Repurchase Date following the day on which such Tax Receivable becomes a Defective Tax Receivable, the District shall, at its option, either (A) cure or cause to be cured such breach or (B) pay to the Certificate Purchaser, in immediately available funds, the Defective Tax Receivable Purchase Amount. If any Tax Receivable is determined to be a Defective Tax Receivable prior to the time the Purchase Price is paid on the Closing Date, the Defective Tax Receivable Purchase Amount may, at the option of the Certificate Purchaser, be netted against the Purchase Price payable to the District on the Closing Date. The obligations of the District under this Section 3.01(e) shall constitute the sole remedies available to the Authority and the Certificate Purchaser with respect to a Defective Tax Receivable and the District shall not incur any other liability to the Authority or the Certificate Purchaser or any other Person because of any inaccuracy of any representation or warranty made under this Section 3.01 with respect to the Tax Receivables. Upon the repurchase of a Defective Tax Receivable by the District, the Authority shall cause the Tax Receivables Schedule to be amended to delete the Defective Tax Receivable therefrom, and the District shall have no further liabilities or obligations with respect to such Defective Tax Receivable.

(f) The District hereby irrevocably grants and pledges to the Authority, to the extent permitted by applicable law, a first lien and claim in and to all property tax revenues to which the District is entitled under State law during each of the Fiscal Years subsequent to the Purchased Fiscal Year in order to secure its obligation to make any payment to the Certificate Purchaser under Section 3.01(e) above.

(g) The Certificate Purchaser shall forward the Certificate Purchaser's calculations and/or recalculations of any adjustments made under this Section 3.01 to the Los Angeles County Office of Education from time to time for the purpose of enabling the County Auditor-Controller to report the "tax receipts" of the District under Section 75.70 of the California Revenue and Taxation Code and Section 6516.6(c)(4) of the California Government Code. The Authority and the Certificate Purchaser shall have no responsibility for any such report made by the County Auditor-Controller, or any failure by the County Auditor-Controller to make any such report.

Section 3.02. Protection of Title; Payment of Collections. (a) The Certificate Purchaser shall be entitled to assert all right, title, and interest of the District in the enforcement and collection of the Tax Receivables, including but not limited to the District's lien priority and the District's right to receive the Collections on the Tax Receivables. From and after the Sale Date, the District shall have no rights whatsoever in and to said Tax Receivables, including but not limited to the right to receive any Collections in respect of said Tax Receivables, except with respect to Defective Tax Receivables repurchased by the District in accordance with Section 3.01. The District shall cooperate fully with the Authority and the Certificate Purchaser as may be reasonably required by the Authority and the Certificate Purchaser to exercise any rights granted to the Authority under this Agreement and assigned to the Certificate Purchaser. The District shall take all actions as may be required by law fully to preserve, maintain, defend, protect and confirm the interests of the Authority and the Certificate Purchaser in the Tax Receivables and the Collections.

(b) On or before the Closing Date, the District shall mark its appropriate records so that, from and after the Closing Date, records of the District shall indicate that such Tax Receivables have been sold. The District hereby agrees to execute, deliver and cause to be approved and/or recorded all documents, and take all actions, as may be required to assign the Tax Receivables and the Collections to the Authority under this Agreement, and to notify the County of the assignments made under this Agreement. The District shall take all actions as may be required to cause the Collections, when remitted by the County to the District, to be immediately remitted by the District to the Certificate Purchaser by federal funds wire transfer. The District agrees to take all actions required by it to cause to be remitted all Collections by no later than two Business Days after the date the Collections are actually made available to the District, including but not limited to delivering to the Los Angeles County Office of Education on the Closing Date irrevocable instructions to make such remittances no later than two Business Days after the date the Collections are remitted by the County to the Los Angeles County Office of Education for the account of the District. The District agrees that it will take no action to attempt to revoke such irrevocable instructions. If any Collections are not remitted to the Certificate Purchaser by such date, the District agrees to pay to the Certificate Purchaser upon demand interest on the amount of such unpaid Collections at the rate of 10% per annum for each day such Collections remain unpaid after such date.

Section 3.03. Consent to Assignment; Further Assurances. (a) The District acknowledges that all of the Collections have been assigned by the Authority to the Certificate Purchaser and that the Certificate of Participation evidences the right of the Certificate Purchaser to receive the Collections. The District hereby consents to (i) such assignment of the Collections and (ii) the sale of the Certificate of Participation to the Certificate Purchaser. The District hereby waives any right of setoff it may have against the Authority with respect to the Collections and agrees to pay or cause to be paid to the Certificate Purchaser or to the designee of the Certificate Purchaser all Collections free and clear of any such claims or right of setoff.

(b) The District acknowledges that the rights of the Authority under this Agreement to enforce the obligations of the District under this Agreement have been assigned by the Authority to the Certificate Purchaser. The District hereby consents to such assignment and agrees that the right to enforce the obligations of the District under this Agreement have vested in the Certificate Purchaser.

(c) The District acknowledges that the purchase of the Tax Receivables hereunder has been financed or may be refinanced from time to time by the issuance of securities that may require the rating of such securities by securities rating agencies, and the District agrees to provide the Certificate Purchaser with such further certifications and opinions after the Closing Date that may be reasonably required by the Certificate Purchaser to obtain such securities ratings, provided that the out-of-pocket costs to the District of obtaining any such certifications and opinions shall be borne by the Certificate Purchaser.

ARTICLE IV
THE DISTRICT

Section 4.01. Representations of District. The District makes the following representations on which the Authority is deemed to have relied in acquiring the Tax Receivables. The representations speak as of the Sale Date and as of the Closing Date, and shall survive the sale of the Tax Receivables to the Authority and the pledge thereof to the Certificate Purchaser pursuant to the Certificate Purchase Agreement.

(a) *Due Organization, Existence and Authority*. The District is a unified school district duly organized and validly existing under the laws of the State, has full legal right, power and authority under the Constitution and laws of the State to enter into this Agreement, to sell the Tax Receivables and the Collections to the Authority, and to carry out and consummate all transactions contemplated hereby, and by proper action the District has duly authorized the execution and delivery of this Agreement.

(b) *Due Execution*. By all necessary official action of the District, the District has duly authorized and approved the execution and delivery of, and the performance by it of the obligations contained in this Agreement, and, as of the date hereof, such authorizations and approvals are in full force and effect and have not been amended, modified or rescinded.

(c) *Valid, Binding and Enforceable Obligations*. This Agreement constitutes the legal, valid and binding obligation of the District, enforceable in accordance with its terms, except as enforcement may be limited by bankruptcy, insolvency, reorganization, moratorium or similar laws or equitable principles relating to or affecting creditors' rights, generally.

(d) *No Conflicts*. The District is not in a breach of or in default under any applicable constitutional provision, law or administrative rule or regulation of the State or the United States, or any applicable judgment or decree or any trust agreement, loan agreement, bond, note, resolution, ordinance, agreement or other instrument to which the District is a party or is otherwise subject, and no event has occurred and is continuing which, with the passage of time or the giving of notice, or both, would constitute a default or event of default under any such instrument; and the authorization, execution and delivery of this Agreement and compliance with the provisions of this Agreement does not and will not conflict with or constitute a breach of or default under any applicable constitutional provision, law or administrative rule or regulation of the State or the United States, or any applicable judgment, decree, license, permit, trust agreement, loan agreement, bond, note, resolution, ordinance, agreement or other instrument to which the District (or any of its officers in their respective capacities as such) are subject, or by which it or any of its properties are bound; nor will any such authorization, execution, delivery or compliance result in the creation or imposition of any lien, charge or other security interest or encumbrance of any nature whatsoever upon any of its assets or properties or under the terms of any such law, regulation or instrument, except as may be provided by this Agreement.

(e) *Consents and Approvals*. No consent or approval of any trustee or holder of any indebtedness of the District or of the voters of the District, and no consent, permission, authorization, order or license of, or filing or registration with, any governmental authority is necessary in connection with the execution and delivery of this Agreement, or the consummation of any transaction herein or therein contemplated, except as have been obtained or made and as are in full force and effect.

(f) *No Litigation*. No action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, government agency, public board or body, is pending or threatened (1) in any way questioning the corporate existence of the District or the titles of the officers of the District to their respective offices; (2) contesting the validity of Article 1 (commencing with Section 6500) of Chapter 5, Division 7, Title 1 of the Government Code of the State or the power and authority of the District to sell the Tax Receivables to the Authority, or affecting, contesting or seeking to prohibit, restrain or enjoin the execution and delivery of this Agreement, the sale of the Tax Receivables by the District to the Authority or the payment of Collections on the Tax Receivables to the Certificate Purchaser, or in any way contesting of affecting the validity of this Agreement or the consummation of the transactions contemplated hereby; or (3) which may result in any material adverse change relating to the District.

Section 4.02. Expenses. The District shall pay any expenses incident to the performance of its obligations hereunder, except that the Authority shall pay the reasonable fees and disbursements of legal counsel engaged by the District relating to the approval, execution and delivery of this Agreement and the consummation of the sale of the Tax Receivables hereunder on the Closing Date. The Authority shall also pay any expenses incident to the performance of its obligations hereunder, including but not limited to the following: (i) the cost of its proceedings in adopting and approving this Agreement; and (ii) the fees and disbursements of Bond Counsel and any other professional services engaged by the Authority in connection with the transactions described in this Agreement.

Section 4.03. Payment of County Administrative Costs. As provided in Section 6516.6(c)(4)(C) of the Government Code of the State, the Authority shall be responsible for, and shall pay, or cause the Certificate Purchaser to pay, directly to the County, all reasonable and identifiable administrative costs and expenses of the County which are incurred as a direct result of the compliance of the Treasurer-Tax Collector of the County or the County Auditor-Controller, or both, with any new or additional administrative procedures required for the County to comply with 6516.6(c) of said Code.

Section 4.04. Additional Representations and Agreements. The District makes the following additional representations and agreements as of the Sale Date, on which the Authority has relied in acquiring the Tax Receivables:

1. The District is transferring the Tax Receivables to the Authority pursuant to this Agreement for the purchase price specified in this Agreement in cash. The consideration paid to the District represents the fair market value of the Tax Receivables. This consideration was agreed upon as the result of arm's length negotiations. The District has determined that the transactions contemplated by this Agreement and the related documents provide the maximum available financial benefits to the District consistent with other objectives and requirements of the District.

2. The consideration for the District's sale of the Tax Receivables accrues strictly to the District, and the District's use of such consideration is not restricted by the Authority.

3. The District properly treats the transfer of the Tax Receivables to the Authority as a sale pursuant to generally accepted accounting principles.

4. There are no other agreements between the District and the Authority relating to or affecting the Tax Receivables, other than this Agreement.

5. The District does not receive any payments with respect to the Tax Receivables, except pursuant to this Agreement.

6. The District will mark its appropriate records so that they indicate the Tax Receivables have been sold. Such records of the District may be in the form of a computer tape, microfiche, or other electronic or computer media.

7. The District intends the transfer of the Tax Receivables to the Authority pursuant to this Agreement to be a sale and not a secured borrowing.

8. The District at all times has maintained and will maintain its respective books, financial records and accounts (including, without limitation, inter-entity transaction accounts) in a manner so as to identify separately the assets and liabilities of the District from the Authority.

9. The District at no time has commingled or will commingle any of its assets, funds, liabilities or business functions with the assets, funds, liabilities or business functions of the Authority or any other person or entity.

10. The District at all times has observed and will observe all applicable corporate or trust procedures and formalities, including, where applicable, the holding of regular, periodic and special meetings of governing bodies, the recording and maintenance of minutes of such meetings, and the recording and maintenance of resolutions, if any, adopted at such meetings.

11. None of the transactions with respect to which this Agreement is being delivered have been entered into by the District with the intent to hinder, delay or defraud any of the creditors of the Authority. The District will not be consensually merged or consolidated with the Authority.

12. All transfers of assets or funds between the District on the one hand and the Authority on the other hand have been and will be on terms that are fair and equitable and consistent with arms-length negotiations.

13. All transactions and agreements between the District on the one hand and the Authority on the other hand have reflected and will reflect the separate legal existence of each entity and have been and will be formally documented in writing. The pricing and

other material terms of all such transactions and agreements have been and will be fair and equitable and consistent with arms-length negotiations.

14. All transactions and agreements between the District and third parties have been and will be conducted in the name of the District as an entity separate and independent from the Authority.

15. The District has paid and will pay its liabilities and losses from its own separate assets. In furtherance of the foregoing, the District has compensated and will compensate all consultants, independent contractors and agents from its own funds for services provided to it by such consultants, independent contractors and agents.

16. The District has not at any time jointly contracted or done business, or will jointly contract or do business, with vendors or service providers or share overhead expenses with the Authority. To the extent that the District or the Authority has contracted or done business or will contract or do business with vendors or service providers where the goods or services in question are wholly or partially for the benefit of the other, then the costs incurred in so doing at all times have been or will be fairly and non-arbitrarily allocated to the entity for whose benefit such goods or services have been or will be provided, with the result that each such entity has borne or will bear its fair share of all such costs.

17. The District at all times will have separate annual financial statements, prepared in accordance with generally accepted accounting principles, that reflect the separate assets and liabilities of such entity and all transactions and transfers of funds involving such entity, and the District has paid or borne the cost and will pay or bear the cost of the preparation of its own financial statements regardless whether such statements (whether audited or unaudited) have been or will be prepared internally or by a certified public accounting firm that has prepared or will prepare the financial statements of more than one of such entities.

18. Neither the District nor any of its affiliates has made or will make any inter-entity loans, advances, guarantees, extensions of credit or contributions of capital to, from or for the benefit of the Authority without proper documentation or accounting satisfactory to its and the Authority's outside accountants.

19. The District in its papers and in the statements of its officials at all times has referred and will refer to the Authority as a separate and independent legal entity.

20. Sales of assets to the Authority by the District, including but not limited to the Tax Receivables, at all times have constituted and will constitute absolute transfers and conveyances, for fair and reasonably equivalent consideration, of all of the Seller's right, title and interest in, to and under those assets for all purposes.

21. If the District is a member of the Authority, in becoming a member of the Authority, the District has relied and is relying upon the fact that the Authority at all times has been and will continue to remain an entity the legal existence of which is separate and distinct from that of the District.

22. The District at no time has taken or will take any action that is inconsistent with any of the foregoing assumptions and that has given or will give (a) any creditor or future creditor of the Authority cause to believe mistakenly that any obligation incurred by the District has been or will be not only the obligation of the District, but also of the Authority, or (b) any creditor or future creditor of either the District or the Authority cause to believe mistakenly that the District and the Authority have not been or will not continue to remain entities separate and distinct from each other.

23. The District is duly organized and validly existing under the laws of the State.

24. No document or agreement to which the District is a party or by which it is bound, or order of any judicial or governmental authority, prohibits or conflicts in any material way with the Joint Powers Agreement, this Agreement, or the understanding of the facts or the assumptions set forth herein.

ARTICLE V
MISCELLANEOUS

Section 5.01. Amendment. (a) This Agreement may be amended only by an instrument in writing signed by the District and the Authority, with the prior written consent of the Certificate Purchaser.

(b) Prior to the execution of any amendment to this Agreement, the Certificate Purchaser shall be entitled to receive and rely upon an Opinion of Counsel stating that the execution of such amendment is authorized or permitted by this Agreement.

Section 5.02. Entire Agreement. This Agreement shall constitute the entire agreement between the parties hereto and is made solely for the benefit of the parties hereto. No other person shall acquire or have any right hereunder by virtue hereof, except as provided herein.

Section 5.03. Notices. All notices or communications to be given under this Agreement shall be given by first class mail or personal delivery to the party entitled thereto at its address set forth below, or at such address as the party may provide to the other party in writing from time to time. Notice shall be effective either (a) upon actual receipt after deposit in the United States mail, postage prepaid, or (b) in the case of personal delivery to any person, upon actual receipt. The Authority or the District may, by written notice to the other parties, from time to time modify the address or number to which communications are to be given hereunder.

If to the Authority: California Statewide Delinquent Tax Finance Authority
c/o Jones Hall, A Professional Law Corporation
475 Sansome Street, Suite 1700
San Francisco, California 94111
Attn: Charles Adams, Esq.

If to the District: Los Angeles Unified School District
«address»
«City», California «zip»
Attn: «Title»

Section 5.04. Assignment by the District. Notwithstanding anything to the contrary contained herein, this Agreement may not be assigned by the District.

Section 5.05. Limitations on Rights of Others. The provisions of this Agreement are solely for the benefit of the District, the Authority and the Certificate Purchaser, which is expressly made a third party beneficiary of this Agreement, and nothing in this Agreement, whether express or implied, shall be construed to give to any other Person any legal or equitable right, remedy or claim under or in respect of this Agreement or any covenants, conditions or provisions contained herein.

Section 5.06. Severability. Any provision of this Agreement that is prohibited or unenforceable in any jurisdiction shall, as to such jurisdiction, be ineffective to the extent of such prohibition or unenforceability without invalidating the remaining provisions hereof, and any such prohibition or unenforceability in any jurisdiction shall not invalidate or render unenforceable such provision in any other jurisdiction.

Section 5.07. Separate Counterparts. This Agreement may be executed by the parties hereto in separate counterparts, each of which when so executed and delivered shall be an original, but all such counterparts shall together constitute but one and the same instrument.

Section 5.08. Headings. The headings of the various Articles and Sections herein are for convenience of reference only and shall not define or limit any of the terms or provisions hereof.

Section 5.09. Governing Law. (a) This Agreement shall be construed in accordance with the laws of the State, without reference to its conflict of law provisions, and the obligations, rights and remedies of the parties hereunder shall be determined in accordance with such laws.

(b) To the extent permitted by law, the parties hereto agree that any and all claims asserted by or against the District arising under this Agreement or related thereto shall be heard and determined either in the courts of the United States located in Los Angeles, California ("Federal Court") or in the courts of the State ("California State Courts") located in Los Angeles, California. To effect this Agreement and intent, the Authority agrees:

(i) If the District initiates any action against the Authority in Federal Court or in California State Court, service of process may be made on the Authority either in person, wherever such Authority may be found, or by registered mail addressed to the Authority at its address as set forth in this Agreement, or to such other address as the Authority may provide to the District in writing;

(ii) With respect to any action between the District and the Authority in California State Courts, the Authority hereby expressly waives and relinquishes any rights it might otherwise have (A) to move to dismiss on grounds of forum non conveniens; (B) to remove to Federal Court; and (C) to move for a change of venue to a California State Court outside of Los Angeles, California;

(iii) With respect to any action between the District and the Authority in Federal Court located in Los Angeles, California, the Authority expressly waives and relinquishes any right it might otherwise have to move to transfer the action to a United States Court outside of Los Angeles, California; and

(iv) If the Authority commences any action against the District in a court located other than in the State of California, upon request of the District, the Authority shall either consent to a transfer of the action to a court of competent jurisdiction located in the State of California or, if the court where the action is initially brought will not or cannot transfer the action, the Authority shall consent to dismiss such action without prejudice and may thereafter reinstitute the action in a court of competent jurisdiction in Los Angeles, California.

(c) If any provision of this Section is held unenforceable for any reason, each and all other provision shall nevertheless remain in full force and effect.

Section 5.10. Nonpetition Covenants. Notwithstanding any prior termination of this Agreement, the District shall not, prior to the date which is one year and one day after the termination of this Agreement with respect to the Authority, acquiesce, petition or otherwise invoke or cause the Authority to invoke the process of any court or government authority for the purpose of commencing or sustaining a case against the Authority under any Federal or state bankruptcy, insolvency or similar law or appointing a receiver, liquidator, assignee, trustee, custodian, sequestrator or other similar official of the Authority or any substantial part of its property, or ordering the winding up or liquidation of the affairs of the Authority.

Section 5.11. Successor Is Deemed Included in All References to Predecessor. Whenever in this Agreement either the District, the Authority or the Certificate Purchaser is named or referred to, such reference shall be deemed to include the successors or assigns thereof, and all the covenants and agreements in this Agreement by or for the benefit of the District, the Authority and the Certificate Purchaser shall bind and inure to the benefit of the respective successors and assigns thereof whether so expressed or not.

Section 5.12. Waiver of Personal Liability. No member, officer, agent or employee of the Authority or the District shall be individually or personally liable for the payment of any amount due hereunder or be subject to any personal liability or accountability by reason of the transactions described herein; but nothing herein contained shall relieve any such member, officer, agent or employee from the performance of any official duty provided by law or by this Agreement.

[Next page is signature page]

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By ____________________________________
Name:
Title:

CALIFORNIA STATEWIDE DELINQUENT TAX FINANCE AUTHORITY

By ____________________________________
Name:
Title: Chairperson

EXHIBIT A

TAX RECEIVABLES SCHEDULE

(CD-ROM is on file with the Authority at its address set forth in Section 5.03)